

Mississippi

GENERAL INFORMATION

1. Mississippi **maintains** a list of eligible surplus lines insurers (see Other Comments section #1).
2. Mississippi **does** have a Surplus Lines Association (see Other Comments section #3).
3. Mississippi **does not** have an Export List.
4. Mississippi **does not** have an industrial insured exemption but has adopted the NRRA exempt commercial purchaser exemption.
5. **Surplus lines tax:** 4%, plus 0.25% stamping fee, payable by broker or agent (see Other Comments section #4).
6. Mississippi **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

1. **Filing or Other Renewal Fee:** \$500 due May 1.
2. **Annual Statement/Report:** certified.
3. **Application:** executed by company's U.S. representative, if alien.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Alien insurers must have capital and surplus meeting the same requirements as foreign insurers and have a trust fund of the greater of: \$5.4 million or 30% of U.S. surplus lines gross liabilities, excluding aviation, wet marine and transportation liabilities, not to exceed \$60 million. Miss. Code Ann. §§ 83-21-17(1)(e)(i)-(ii). An alien insurer must also be listed on the NAIC Quarterly Listing of Alien Insurers. Miss. Code Ann. § 83-21-17(1)(h). Effective July 21, 2011, listing on the NAIC list is sufficient; no additional requirements need be met.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

A foreign insurer is eligible if the insurer has capital and surplus (or its equivalent under the laws of its domiciliary jurisdiction) equal to the greater of: the capital and surplus required of a company licensed to do business in Mississippi or \$15 million. Miss. Code Ann. §§ 83-21-17(1)(a)(i) – (ii). The insurance commissioner may waive these minimum capital and surplus requirements and a nonadmitted insurer may become eligible if the commissioner makes an affirmative finding of acceptability after considering quality of management, capital and surplus of a parent company, company underwriting profit and investment trends, market availability, and company record and reputation within the industry. Miss. Code Ann. § 83-21-17(1)(b). The commissioner may not make a finding of acceptability if the insurer's capital and surplus is under \$4.5 million. Miss. Code Ann. § 83-21-17(1)(6).

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

Worker's compensation insurance.

OTHER COMMENTS OR REQUIREMENTS

1. Mississippi's eligibility list is available at <https://www.mid.ms.gov/mississippi-insurance-department/licensing-search/company-licensing-search/>. Select "Company Type" from the scroll down menu then select "Surplus Lines – Alien" or "Surplus Lines – Foreign" from the scroll down menu "Company Type."
2. In order to be eligible, a foreign insurance company must not be designated as a regulatory priority company by the NAIC.
3. Contact information for the Mississippi Surplus Lines Association is as follows:

Julie McLemore, Executive Director

Mississippi Surplus Lines Association

504 Keywood Circle, Suite B

Flowood, MS 39232-3018

Tel.: (601) 713-1111 x100

Fax.: (601) 713-1122

Email: jmclemore@msla.org

Website: www.msla.org
4. Mississippi requires the surplus lines agent to collect a nonadmitted policy fee for any and all risks on real property and contents in Mississippi. This fee is effective on all nonadmitted real property and contents for policies. Residential earthquake and residential flood risks are exempt from the nonadmitted policy fee. Miss. Code Ann. § 83-34-4(1).
5. Mississippi has eliminated the affidavit requirement and instead requires a surplus lines insurance producer to execute a form when any policy of insurance or certificate of insurance is procured under the authority of the producer's license. The form must set forth facts in complete detail as to what was done to place the insurance and showing that the producer, after diligent effort, was unable to procure from a licensed company or companies the full amount of insurance required to protect the property, liability, or risk desired to be insured. This form must be maintained on file with the surplus lines insurance producer and may be subject to review by the Mississippi Commissioner of Insurance.
6. Every insurance contract procured and delivered must have stamped upon it in bold 10-pt type, and bear the name of the agent who procured it, the following: **"NOTE: This insurance policy is issued pursuant to Mississippi law covering surplus lines insurance. The company issuing the policy is not licensed by the State of Mississippi, but is authorized to do business in Mississippi as a nonadmitted company."**

The policy is not protected by the Mississippi Insurance Guaranty Association in the event of the insurer's insolvency."

7. Mississippi eliminated the requirement that a diligent search of the admitted market be made before placing insurance with a surplus lines producer thus making Mississippi the fourth state to eliminate the diligent search requirement, joining Colorado (see the Colorado specific page for additional details), Louisiana, Virginia, and Wisconsin. The legislation also decreases from two to one the number of fire and casualty companies that a producer must be regularly commissioned to represent in order to obtain a surplus lines license and expands the necessary items that must be included in the acknowledgment provided to the insured for personal lines surplus lines policies including that coverage may or may not be available in the admitted market that may "provide greater protection with more regulatory oversight" and that losses shall not be paid by the Guaranty Association in the event of an insolvency.
8. Annual filing fees for Mississippi foreign eligible surplus lines insurers should be filed in accordance with certain NAIC procedures: <https://www.mid.ms.gov/companies/pdf/statement-filing-requirements/foreignsurpluslinescompaniesannstatefilerequire.pdf>

Contact Our Insurance + Reinsurance Team

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